

Where Chemistry Meets Business

With years of experience under his belt, Satyanarayana Chava is now successfully guiding his company Laurus Labs on the research path for a better tomorrow

By Neetu Chandra Sharma

► **TURNING CHALLENGES INTO** opportunities, Satyanarayana Chava, Founder and Chief Executive of Laurus Labs, has taken his pharma company to new heights in the past two years. Chava, who played a major role in the success of Matrix Laboratories as CEO, has also worked with Ranbaxy Laboratories, Vera Laboratories and Vorin Laboratories in different roles. And now, he is writing the growth story of his own company.

For Chava, the past 15 years have been extremely rewarding despite the challenges. “Each challenge was converted into an opportunity. If there is no challenge, there is no opportunity. Our success depends on how much we innovate and build facilities to make a product commercial,” he says.

In March 2020, the company received the US Food and Drug Administration’s approval to market hydroxy-

chloroquine tablets, which were in heavy demand at the onset of the pandemic. The Hyderabad-headquartered company had also announced that it would supply hydroxychloroquine for clinical trials of preventive treatment of Covid-19. Like all other organisations, Laurus Labs faced its own share of struggles that the pandemic presented. “The first thing for us as a healthcare company was the responsibility to supply drugs. The second was how to run our factories while taking care of the health of our colleagues and their families. We were fortunate that all of our colleagues were very forthright to take this mission forward, thus ensuring that we did not need to shut our factories,” says Chava.

Founded in 2005, Laurus Labs is scaling up fast. Its consolidated revenue for FY21 increased 70 per cent. Chava says his company has been able to sustain both EBITDA margins and profitability. The generic API division saw a growth of over 100 per cent for the October-December quarter. But even as Laurus Labs reports healthy numbers, Chava says the revenues are secondary. “We started with APIs and bulk actives and later moved into formulations. After that, we got into biology and cell therapy by investment. So, we aim to be a research-driven manufacturing company in the next 10-15 years.”

Chava finds himself at the top of the Pharma & Healthcare category in the BT-PwC India’s Best CEOs ranking.

With investment plans of up to ₹1,700 crore before the end of FY23, Laurus Labs plans to boost capacity in biotechnology and contract development. “We invest in products and capacities much before the requirement. In any industry, growth comes from two things—either you invest in capacities or buy companies. Instead of putting

Pharma & Healthcare

Satyanarayana Chava

Founder and CEO, Laurus Labs

Revenue from operations	FY21	4,768.72
	Q3 FY22	932.58
Profit before tax	FY21	1,274.63
	Q3 FY22	141.95
Profit after tax	FY21	956.11
	Q3 FY22	109.16
	RoE (%)	42.32
	Market Cap	28,404.81

- Standalone results; all figures in ₹ crore except RoE
- M-cap as of February 7
- Data Source: BSE, ACE Equity